DO NOT WRITE IN THIS AREA

11 Stanley invests £7500 for 4 years in a savings account.
The savings account pays compound interest at a rate of x% per year.

At the end of 4 years the investment is worth £7866.53

Work out the value of x.
Give your answer correct to 1 decimal place.

Four-year multiplier = 7866.53 ÷ 7500

1 mark
Final ÷ initial.

Annual multiplier = $\sqrt[4]{(7866.53 \div 7500)}$

= 1.0119999358...

1 mark
Take fourth root.

$x = (1.0119999358... - 1) \times 100 = 1.2\%$

1 mark
Subtract 1, then ×100 for the annual percentage.

$x =$ 1.2

(Total for Question 11 is 3 marks)

IS AREA